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 By [Westpac New Zealand Economics](#)

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A matter of balance

The conflict in the Middle East has cast a long shadow across the New Zealand economy, with a softening in demand, rising costs and winding back of plans for hiring. Inflation is already at elevated levels and it's set to take a large step higher over the next few months. All of this leaves the RBNZ with a particularly challenging balancing act. But while there are questions about how quickly the RBNZ will adjust the OCR, the direction of those movements will be upwards.

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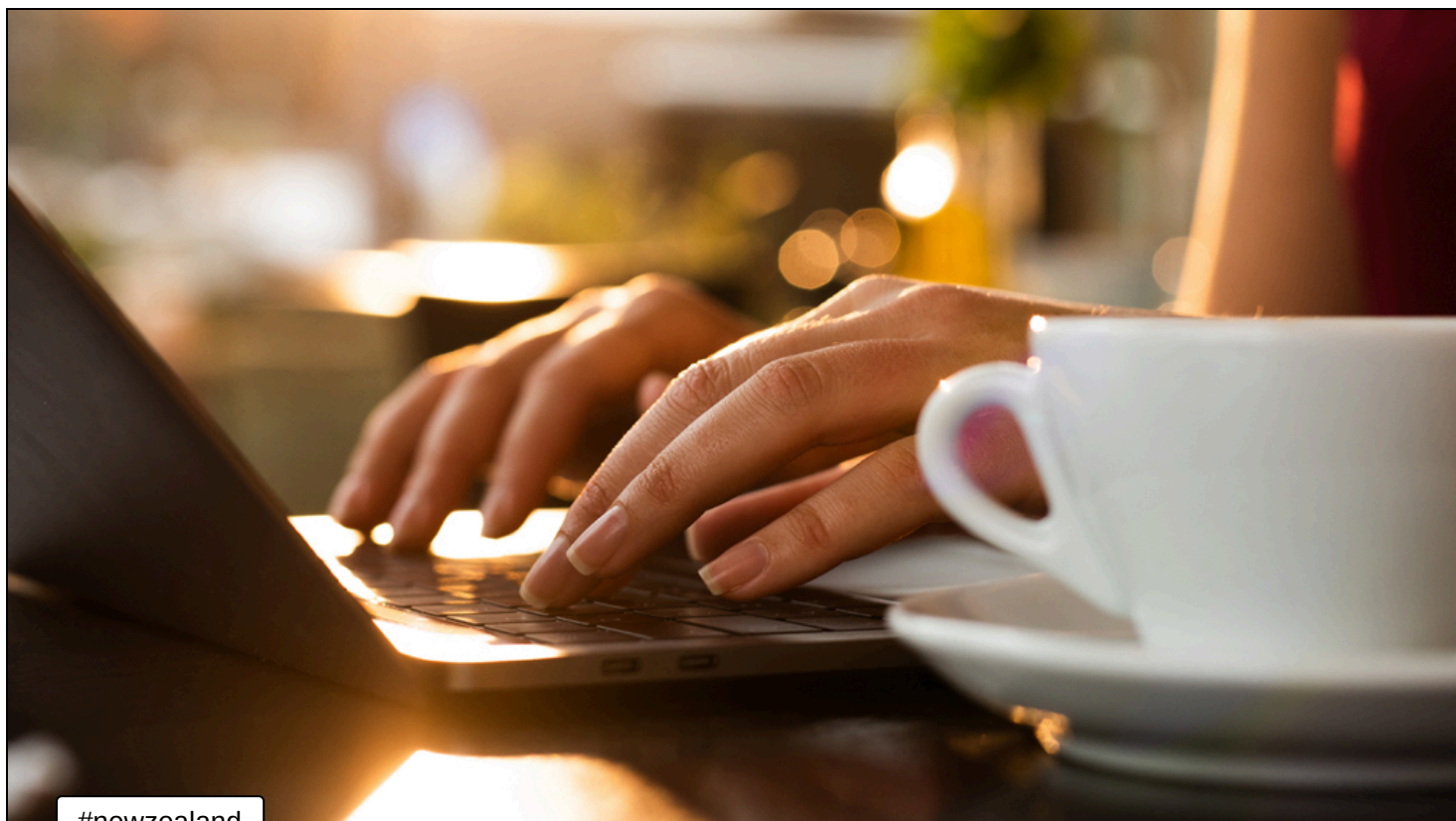
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